AFRICA CENTRE OF EXCELLENCE FOR SUSTAINABLE POWER AND ENERGY DEVELOPMENT (ACE- SPED) UNIVERSITY OF NIGERIA, NSUKKA

INTERNAL AUDIT (IA) REPORT JULY, 2024 TO DECEMBER, 2024

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INTERNAL AUDIT REPORT
JULY - DECEMBER 2024

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Key information on the Project

Project Name and State	Africa Centre of Excellence For Sustainable Power and Energy Dev.
Project ID	
IDA Credit/ Grant No	
Implement Agency	University of Nigeria, Nsukka
Effectiveness Date	Year 2019
Closing Date	Year 2024
Credit / Grant Amount	USD 6,000,000
Project Duration	5 years
Remaining Period to Close	Nil
Disbursement Amount to Date	
Period Covered by Review	Six Months
Internal Auditor	Ugwu Alphonsus Odo

EXECUTIVE SUMMARY.

Our Internal audit report covered the period 1st July, 2024 to 31st December, 2024. Our audit is risk-based internal audit. It is primarily focused on the inherent risks involved in the activities of the Centre and provide assurance that risk is being managed by the management within the defined risk capacity level. Some Accounting records of the project were examined. Some of these books and records includes; Bank Statements, Bank Reconciliation Statements, Cash book, Payment

Vouchers and Internal control. The essence of examining these records was to ascertain if the transactions were posted promptly and whether bank reconciliations were done as prescribed by the World Bank and in line with the Financial Regulations as required. It also enable us to determine whether or not the expenditure incurred were budgeted for and to compare budgeted with the actual expenditure and comment on the variance. Payment vouchers were reviewed to cheek for authorizations and approvals as well as the action of the initiator, reviewer and finalizer in the transaction processes. The audit reviewed the Internal Control system in order to cheek the compliance so as to identify if there is internal control weaknesses in the system.

The major findings during the review were as follow:

The Centre maintains two Naira accounts and one Dollar account with the Central bank of Nigeria. Cash books were updated monthly. Receipts and Payment accounts was prepared with posting accordingly. There was no standard Assets Register maintained by the Centre. However payments were made timely by the Centre. All the payments as evidenced from the records reviewed were duly approved before payment using REMITA platform. There existed an approved budget /work plan for the period under reviewed. The budgeted amount and the actual expenditure resulted in favourable variance for the period under reviewed.

There was an adequate segregation of duties in the Centre. The audit observed that the project Financial Management System is adequate with reasonable assurance that the project funds were utilized for the purposes and are in line with World Bank guidelines. The Financial Management risk is minimal.

The audit observed that the audit Committee has made a great impact on the Project. The audit was carried out in accordance with the World Bank Financial Management

and disbursement policies, procedures and guidelines and the Federal Republic of Nigeria Financial Regulations of 2009.

INTERNAL AUDIT REVIEW, FINDINGS AND ACTION PLANS

2.1. Accounting:

International Public Sector Accounting Standard (IPSAS) was adopted in preparing the accounts hence the Institutional Accounting procedures were adopted and the risk inherent is very low. The Centre adopted a uniform accounting software used by all African Centre of Excellent in Nigeria in preparation of books of accounts.

2.2. Internal Control:

The Centre has now strong internal Control system because the weakness in internal control pointed out in our last report where the leader approves expenditure and the accounts clerk raised payment voucher and the payment is made. The vouchers were now counter signed and all the documentations attached before payment if finalized. The internal control system of the Centre is adequate for the period under reviewed.

2.3. Payment Procedures:

Payment were raised in favour of approved beneficiaries and the actual payments were made to the beneficiaries' personal accounts. There are three bank accounts maintained by the Centre. Two Naira accounts and one Dollar account all are housed in the Central bank of Nigeria.

Bank reconciliation statements for the period were promptly prepared within the period under reviewed. The Cash books were properly adjusted before reconciliation. The risk here is rated very low and there is no incidence of fraud during the period under reviewed.

2.4. Fund Flow.

As we stated in our previous report, the Credit/Grant amount of the project is USD6,000,000 with the effective date of the Project been 2019 and the closing date of the project being 2024. The Project duration is five (5) years. Going by this initial arrangement, the Project has come to end by 31st December, 2024. From our investigations the work on the project were seriously affected by the outbreak of COVID 19 coupled with long industrial action carried on by the Nigerian Federal Universities which lasted for eight months.

RISK AND IMPLICATIONS:

If the World Bank insists on closing the project in 2024, it will affect the project negatively because the World Bank had not disbursed all the money for the project and there are many work-in-progress in the centre. The Centre has no money to complete the project and the unfinished work will remain as it is.

Recommendations;

The World Bank should extend the closure of the Project to December, 2025 to enable the Centre to claim the remaining funds to finish their work –in –progress.

2.5 Effectiveness of management Oversight Including Audit Committee.

The Project Steering Committee is headed by the Vice-Chancellor of the University of Nigeria Nsukka. The Committee performs various oversight roles and is made up of various officers with assigned responsibilities. Generally, the effectiveness of Management oversight for the centre is considered adequate within the period under reviewed. Other Sub- Committee in the Centre that carry out specific functions includes;

1. Audit Committee
2. Procurement Committee

The Audit Committee carries some responsibility in the project such as review of both the internal and external Audit reports and the management letters. The effectiveness of this Audit Committee is considered adequate.

2.6 The Audited Financial Statement of the Centre for the year ended 31st December, 2024 were presented to the Audit. It was observed that the Centre‘s Account were not integrated with the University’s Accounts.

2.7 **External Audit**:

We observed that the external Auditor of the Centre gave an unqualified opinion on the Financial Statements Presented. The financial Statements gave a true and fair view of the financial affairs of the project as at 31st December 2024, and the financial performance and cash flows for the year ended and they are in accordance with the IPSAS issued by the International Public Sector Accounting Standard Board.

2.10 Physical Verification

As previously reported, the Non-Current Assets Register presented was not properly kept to show the details of the assets. Many assets of the project were seen but some are not coded with the engraving machine.

2.9 Fraud and Corruptions

There was no trace of fraud and corruption reported or observed during the period under review.

Ugwu, Alphonsus O.
Internal Auditor
24TH January, 2025

AFRICA CENTRE OF EXCELLENCE FOR SUSTAINABLE POWER AND ENERGY DEVELOPMENT (ACE- SPED) UNIVERSITY OF NIGERIA, NSUKKA

MANAGEMENT LETTER ON INTERNAL AUDIT

REPORT

JULY, 2024 TO DECEMBER, 2024

We have reviewed books and records as well as internal control of the Africa Centre of Excellence for Sustainable Power and Energy Development (ACE-SPED), University of Nigeria, Nsukka and the following observations were made in the course of our audit exercise.

1. Some payments for the purchase of some items were made but these purchases were not backed up with receipts. These items purchased were not carried to the store as there was no store papers attached and were not checked by the auditor as seen in these payment vouchers

(i) Pv/2024/UNN/1-000000225 for N1,146,090 ifo V-Blue Integrated Services Ltd dated 10/7/2024 for the supply of tools for ACE-SPED Laboratory.

(ii) Pv/2024/0000268 of 10/7/2024 ifo V- Blue Integrated Services Ltd for the supply of Chemicals / Medical Equipments for ACE-SPED Laboratory for N740,025.

(iii) Pv/2024/UNN/-1/00000383 of 23/10/2024 ifo DonwaVictor for the purchase of Fibre Connection at ACE-SPED main office at N505,000

Risk:

There was approval for the purchase of these items but these materials were not carried to the Store for receipt. There was neither SRV and SIV as an evidence of been presented to the central Store. Fictitious purchases may result from this practice.

Management Response

Noted

Recommendation:

Every Payment voucher raised for the supply of items must carry SRV and SIV to prove that they have been check by the Store officer before payment.

3. The Centre is very fast in her permanent site building work of the Centre of Excellent. The building is almost completed but it has to be equipped with laboratory Research equipment. The World Bank should extend the closing date of the Project for those affected by industrial Action carried on by Nigerian Federal Universities and COVID 19.

Risk:

If the World Bank fails to extend the date of the closure for these affected Centers, the objective of the project will be forfeited as it will be difficult by the Centre to raise the required fund to complete the project.

Recommendations:

The World Bank is advised to extend the closure of the project to 2025 to enable the Centre to achieve her objectives.

Ugwu, Alphonsus Odo
Internal Auditor
24th January, 2025

AFRICA CENTRE OF EXCELLENCE FOR SUSTAINABLE POWER AND ENERGY DEVELOPMENT (ACE-SPED) UNIVERSITY OF NIGERIA, NSUKKA

INTERNAL AUDIT (IA) REPORT ON PROCUREMENT AND MANAGEMENT LETTER

July, 2024 TO December, 2024

EXECUTIVE SUMMARY

The African Centre of Excellence for Sustainable Power and Energy Development University of Nigeria, Nsukka has a Procurement Plan. Some Procurement activates took place within the period under reviewed.

The Centre has a functional Procurement Committee. It was observed during our audit that the procurement committee of the Centre holds meeting before any procurement is made in the Centre. This was evidenced from the minutes of the meeting recorded.

The Centre leader and the Procurement officer are responsible for the preparation, presentation and defence of the procurement plan subject to the approval of World Bank team.

The Centre followed the due process in the course of procuring their items of any category as recommended by the World Bank. Advertisement in the Newspaper for prequalification and bid invitation were observed. Similarly, Tender evaluation reports for each contract were checked and copies of invoice with dates of submission for each contract were reviewed. Evidence of payments to the suppliers were observed.

INTERNAL AUDIT REVIEWED ; FINDINGS AND ACTION PLANS.

During our audit review of procurement made by the African Centre of Excellence for Sustainable Power and Energy Development (ACE-SPED), the following are our findings:

(i) Many procurements were made during the period under reviewed and the complete due process were followed . Theitems supplied met the

correct specifications . The Internal Control system is very strong here as materials supplied were counter checked by another officer of the Centre. This practice reduces the risk of supplying sub- standard materials to the Centre. Some tools or materials purchased by the Centre were coded but some are yet to be coded with the engraving machine.

Risk;

Some of the tools or assets of the Centre may be pilfered or stolen or the ownership claimed by another person and the proof of ownership may be difficult by the Centre when it happened.

Management Response:

The coding with the engraving machine is on- going and will be completed soonest.

Recommendation:

The Assets of the Centre must be coded with the engraving machine once it is purchased by the Centre to prevent claim by an unauthorised individuals or stolen by thieves.

(ii) **Asset Register**:

A standard Asset Register must be maintained by the Centre which shows the details of the assets purchased. The Asset Register should show the details of the assets of the Centre . The information required includes but not limited to:

- The date of the purchase of the assets
- The cost of the assets purchased
- The location of the assetsof the Centre

- The identification number of the asset of the Centre

In conclusion the performance of the Centre is rate very high and the Centre is operating according the guideline of the World Bank and adheres to the Financial Regulation of Nigeria 2009.

Ugwu, Alphonsus Odo
Internal Auditor
24th January, 2025

MINUTES OF THE MANAGEMENT AUDIT COMMITTEE HELD ON WEDNESDAY 23RD JANUARY, 2025 AT UNIVERSITY OF NIGERIA, NSUKKA (ELECTRICAL ENGINERING DEPARTMENT).

Opening: The meeting was called to order at 11.00 pm and Professor V.A Onodugo led in the opening prayer.

Attendance: Present at the meeting were:

Professor Grace N. Ofoegbu (Chairperson)

Professor Stella Madueme (member)

Professor V.A Onodugo (Member)

Professor J. U.J Onwumere (Member)

The Chairperson welcomed the members to the meeting and wished them happy New Year. She praised those members from Enugu Campus for making it possible to attend the meeting despite the short notice given for the meeting. She gave glory to the Almighty God for journey mercies granted to all the members to this meeting and pray to God to continue to guide us in all our deliberations.

The Chairman informed the members that the meeting will be short and will not take much of our time as we have few things to discuss. The minutes of last meeting was read by the Secretary and little corrections was made before the adoption.

Objective of this meeting:

The chairperson informed the members that the only agenda of this meeting is to look into the report of the Internal Auditor of the Africa Centre of Excellence for Sustainable Power and Energy Development (ACE-SPED). As usual, she told the members that their duties here are:

(i) To consider the report of the Internal Auditor and make recommendations where necessary and

(ii) To suggest further improvements that can sustain the project.

Deliberations:

The Committee deliberated on the business of the day. The Internal Auditor's Report was read and only little corrections were made.

The Committee after going through the Management Letter, they emphasized seriously on the need and urgent correction of those exceptions pointed out by the Internal and External Auditors of Project. The committee warned that those exceptions observed by the Auditors should not appear in the future reports of both the Internal and External Auditors' reports.

The Committee visited the permanent site of the Africa Centre of Excellence for Sustainable Power and Energy Development (ACE-SPED) building. They were marvellous and each expressed their surprises because of the magnificent building been erected within a short space of time. They were very happy and praised the Centre for their efforts and extend their appreciations to the World Bank that gave the project to the University of Nigerian, Nsukka.

Closing:

In the absence of any other item to be discussed, the meeting came to an end at 2.05 pm with a closing prayer said by Professor Stella Madueme.

Prof. Grace N. Ofoegbu	Mrs. Ogochukwu Anyanwu
Chairperson	Secretary
University Audit Committee	University Audit Committee